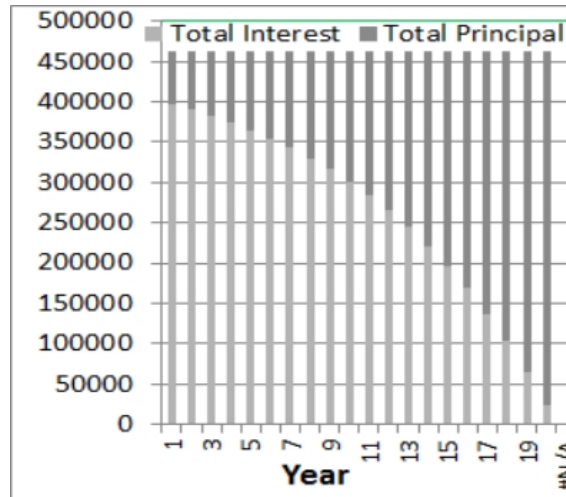




The inflection point of where your principal builds faster than interest is not until 14th year.

In the end, when you have paid off everything and you own a home

- Total interest payments: 52.6L
- Principle: 40L

Right now, if you're looking to say, "*some equity toward an asset is better than nothing at all*", look at the opportunity cost (alternative) you're missing out on. When paying for a mortgage, typically, people spend about 50% of their monthly salary on it. If you were renting, you'd have other options to do with money than pay large EMI's.

Best alternative: That 50% of your monthly paycheck going towards mortgage payments could have been divided into 30% rent, 10% equity market investing and 10% yearly vacations. If you think "*Housing reached unbelievable prices during the boom of late 2000's*", consider this: during this same period, the Nifty 50 moved from 1266 to 8475 at a rate of 12.6% per annum ^[23] .